

PEOPLE'S PUBLIC TRUST ECONOMIC ZONE 0001 — CALIFORNIA

PPT-EZ-CA-0001

312 Spring Commons

NMTC / CDE TRANSACTION TERM SHEET

Draft discussion framework for a potential New Markets Tax Credit financing; census-tract, QALICB, CDE allocation and investor terms remain TBD

v0.2 • September 17, 2026

WORKING DRAFT / COUNSEL REVIEW / PROGRAMMED ASSUMPTIONS

This document is a working project draft for discussion, diligence and counsel review. It does not create a binding investment, lease, escrow, tax-credit, development or public-conveyance obligation unless and until definitive agreements are approved and executed by authorized parties. Programmed benchmarks and transaction-efficiency goals are design targets to be measured, not achieved results, forecasts, guarantees, or representations of savings or return.

Document code: DOC-09

1. Purpose and Eligibility Status

This non-binding term sheet outlines a potential New Markets Tax Credit (NMTC) financing for 312 Spring Commons. The project has not yet established that the applicable census tract, project entity, business activities or transaction structure qualify for NMTC financing, and no CDE allocation has been committed.

CDFI Fund guidance describes the NMTC as a 39% federal income tax credit over seven years for investors making Qualified Equity Investments (QEIs) in certified Community Development Entities (CDEs), which in turn deploy qualifying investments in low-income communities. This draft is designed for discussion with CDEs, NMTC counsel, investor counsel, accountants and project capital advisers.

2. Working Parties

Party	Working role
CDE / Allocatee — TBD	Certified CDE with available allocation authority; makes qualifying investment if project is eligible.
NMTC Equity Investor — TBD	Makes QEI and receives credit subject to definitive documents and tax law.
Leverage Lender / Source — TBD	Provides leverage debt or other eligible source if a leveraged structure is used.
QALICB / Project Business — TBD	Qualified active low-income community business receiving QLICB proceeds, if eligibility is established.
Public Grantee / Owner — TBD	Holds proposed public fee title; grants approved lease/operating rights.
Project Operator / Sponsor — TBD	Develops/operates eligible project activities under public/NPS constraints.

3. Eligibility Workplan

Eligibility item	Status / required action
Low-income community / census tract	TBD — verify current tract qualification and distress criteria using authoritative CDFI Fund data.
QALICB status	TBD — entity/activity/income/property tests to be modeled by NMTC counsel.
CDE allocation	TBD — identify CDEs with mission fit and available allocation.
Permitted project uses	TBD — map rehab/operating uses and excluded activities.
Public ownership / lease	TBD — confirm compatibility with QALICB and financing structure.
Historic Surplus / NPS restrictions	TBD — confirm financing and lease structure is permitted.
Other tax-credit interaction	TBD — model HTC/NMTC basis, eligible costs, leverage sources and anti-duplication issues.

4. Indicative NMTC Structure

If eligible, the transaction may use a direct or leveraged NMTC structure as designed by specialist counsel. A conceptual leveraged structure can include investor equity plus leverage funds invested into an investment fund, followed by a QEI into a CDE and one or more Qualified Low-Income Community Investments (QLICs) into the project/QALICB. Final entity diagrams, tax allocations, loan terms and flow-of-funds must be prepared by NMTC counsel and the selected CDE.

No debt forgiveness, put/call price, investor return, leverage rate or Year 7 exit is assumed in this draft.

5. Uses of NMTC Proceeds

- Only costs and activities permitted by the final CDE/NMTC structure and project documents.
- Potential categories for analysis include rehabilitation, equipment, eligible soft costs, operating/business activation and community-serving programs, subject to eligibility.
- The project should avoid representing the NMTC as financing fee-title acquisition where the public conveyance may occur without monetary consideration.
- Each dollar should be tagged to a permitted source/use and reconciled against HTC, grant, public-funding and other restrictions to prevent double counting.

6. Community Outcomes / PPT-EZ-CA-0001 Metrics

In addition to tax compliance, the project intends to document measurable community outcomes aligned with CDE underwriting and PPT benchmark reporting, including where applicable:

- jobs created/retained and wage quality;
- local and small-business contracting;
- workforce training/apprenticeship participation;
- food, education, health, civic, arts or other public-benefit services;
- affordable/accessible space for mission-aligned operators;
- capital invested in the designated low-income community;
- public-asset preservation and long-term community use;
- transparent reporting of actual versus target outcomes.

7. NMTC Capital and Economics

The CDFI Fund program provides a 39% credit on the QEI over seven years. The amount of project subsidy, investor pricing, leverage debt, CDE fees, reserves, transaction costs and net project proceeds are TBD. No “39% of total project cost” assumption should be used.

Economic item	Working treatment
QEI amount	TBD based on allocation and eligible transaction size.
Investor equity	TBD based on credit pricing and market terms.
Leverage amount / source	TBD; may include philanthropy, sponsor/public/other eligible source subject to counsel.
QLICI loans / investments	TBD; terms set by CDE and transaction documents.
CDE / legal / accounting fees	TBD and included in all-in cost-of-capital benchmark.
Exit mechanics after compliance period	TBD by counsel; no automatic put/call or forgiveness assumption.

8. Title / Public Asset Protection

- The proposed NMTC financing is not intended to convey fee title to the NMTC investor, CDE or QALICB unless the public conveyance structure is separately and lawfully changed.
- Financing collateral, leasehold security, remedies and subordination must be negotiated so they do not conflict with federal reversion rights, public ownership, NPS restrictions or other senior obligations.
- Any representation of “ownership in the commons” must distinguish community/operating participation from public fee title.

9. TitleChain / Digital Evidence Schedule

TitleChain may track the authoritative title reference, lease rights, CDE/QEI/QLICI document references, capital-flow milestones, community outcome evidence, required approvals and transaction-state events. Official bank, tax, CDFI/CDE, public and legal records remain authoritative. The M5 digital title-state representation is not a securityholder register for the NMTC investment unless separately structured and approved.

Programmed Benchmark Objectives

These baseline assumptions are deliberately programmed into the project as performance goals. They are intended to be measured transaction by transaction and updated as the PPT portfolio grows. They are not historical results, guaranteed savings, or investor-return projections.

Metric	Working baseline	Programmed target	Measurement
End-to-end transaction timeline	12-month legacy comparison	2-month target where legally/process-feasible	Days from defined start gate to defined closing/activation gate
Human coordination labor	14,000-hour working baseline	3,000-hour target	Time logs by role and workstream
Administrative labor cost	\$2.10M baseline	\$0.45M target	Actual invoices/payroll attributable to transaction coordination
Escrow & title friction	\$1.1475M baseline	\$0.459M target	Actual third-party fees; no assumption that legally required services disappear
Compliance/audit friction	\$0.45M baseline	\$0.15M target	Actual audit/compliance coordination cost
Holding/time-drag cost	\$8.25M baseline	\$1.375M target	Measured carrying cost over actual elapsed period
Total modeled friction	\$11.9475M baseline	\$2.434M target	Actual verified transaction overhead
Potential modeled reduction	\$9.5135M target delta	Target only	Difference only after actual comparable cost categories are verified
Cost of money	TBD comparable project rate	Lower all-in effective cost where structure and risk reduction permit	Spread, fees, effective annualized cost, reserve burden
Third-party system/agent duplication	TBD baseline mapping	Minimize duplicated systems and repeated context transfer	Vendor count, connectors, model calls, reconciliation events

11. Conditions to NMTC Closing

1. Current low-income-community eligibility verified.
2. QALICB eligibility confirmed by counsel/CDE.

TitleChain / M5Canon | U.S. Patent Nos. 11,720,888 & 12,518,273 | Public Commons: TitleChain Foundation / ICSN | github.com/TitleChain-Foundation | titlechainfoundation.org

3. CDE with sufficient allocation selected and committed.
4. Investor and leverage sources identified and approved.
5. Historic Surplus/public-title/lease structure accepted by required parties.
6. Final sources/uses and HTC/NMTC interaction modeled.
7. Appraisal/valuation, environmental and other CDE underwriting completed.
8. Definitive QEI, QLICI, leverage, intercreditor, pledge and related agreements completed.
9. Required tax opinions and closing conditions satisfied.

12. Non-Binding Effect

This term sheet is non-binding and does not constitute a CDE allocation, QEI commitment, tax opinion, financing commitment or securities offering. Definitive rights arise only from executed agreements.

Selected Source Basis and Diligence Notes

- 312 N. Spring Street Acquisition Feasibility Brief, September 16, 2026: project status, public-grantee structure, diligence list, occupancy and \$153M capital-maintenance reference.
- National Park Service, Historic Surplus Property Program: eligible public recipients may acquire qualifying historic surplus property at no cost; private/nonprofit operators may participate through NPS-approved long-term leases.
- IRS Rehabilitation Credit / Form 3468 guidance: federal rehabilitation credit equals 20% of qualified rehabilitation expenditures and is generally allowed ratably over five years; lessee eligibility and lease-term requirements require tax counsel.
- CDFI Fund, New Markets Tax Credit Program: the investor credit totals 39% of the qualified equity investment over seven years through certified CDE structures; project/CDE eligibility remains to be established.
- U.S. Patent Nos. 11,720,888 and 12,518,273, "Decentralized title transfer and validation of assets": distributed-ledger methods for recording asset provenance, ownership history, and transactions. Project implementation and patent-claim applicability remain subject to counsel.
- NMTC census tract/QALICB eligibility and program allocation must be verified using current CDFI Fund data and selected CDE underwriting before any investor-facing claim.

M5Canon v0.2 Updates

NMTC Authority Boundary

- Digital records may support evidence of location, expenditures, community outcomes and compliance, but they do not establish QALICB status, LIC eligibility, QEI treatment, CDE allocation authority or tax-credit entitlement.
- Any UCC-1 filing used in the financing must correspond to an actual security interest created by definitive financing documents; TitleChain may reference that filing but does not substitute for it.

M5Canon v0.2 Conformance and Authority Hierarchy

This document is governed by the M5Canon authority hierarchy for PPT-EZ-CA-0001. An authoritative legal act, executed instrument, government record or legally authorized person or institution establishes the legal right or status. A Ricardian contract expresses the authorized right in human-readable and machine-readable form. Deterministic code may validate, constrain, route and enforce only authority already granted. Jev, language models and other probabilistic systems may classify, score, explain and route, but they do not create legal authority. TitleChain records provenance, state, restrictions, authority and receipts. If digital state conflicts with authoritative legal evidence, execution must halt and route to reconciliation and authorized human review.

Clean Document-Control Status

Document control: human-controlled project draft assembled from project source material and reviewed under M5Canon document-control rules. No embedded generative media, comments, tracked changes, hidden prompts, content-control tags or authoring metadata are intended to be present.